AHIP 2026 Final Exam – Complete Answer Key (Q&A;)

Question 1

Mr. Moy will soon turn age 65. He is slightly younger than his wife. Mr. Moy's wife has a Medicare Advantage plan, but he wants to understand what coverage Medicare Supplemental Insurance provides since his health care needs are different from his wife’s needs. What could you tell Mr. Moy?

Answer: d. Medicare Supplemental Insurance would help cover his Part A deductible and Part B coinsurance or copayments in Original Fee-for-Service (FFS) Medicare as well as possibly some services that Medicare does not cover.

Question 2

Ms. Henderson believes that she will qualify for Medicare Coverage when she turns 65, without paying any premiums, because she has been working for 40 years and paying Medicare taxes. What should you tell her?

Answer: c. To obtain Part B coverage, she must pay a standard monthly premium, though it is higher for individuals with higher incomes.

Question 3

Ms. Kumar plans to retire when she turns 65 in a few months. She is in excellent health and will have considerable income when she retires. She is concerned that her income will make it impossible for her to qualify for Medicare. What could you tell her to address her concern?

Answer: d. Medicare is a program for people age 65 or older and those under age 65 with certain disabilities, end-stage renal disease, and Lou Gehrig’s disease so she will be eligible for Medicare.

Question 4

Mrs. Foster is covered by Original Medicare. She sustained a hip fracture and is being successfully treated for that condition. However, she and her physicians feel that after her lengthy hospital stay, she will need a month or two of nursing and rehabilitative care. What should you tell them about Original Medicare’s coverage of care in a skilled nursing facility?

Answer: c. Medicare will cover Mrs. Foster’s skilled nursing services provided during the first 20 days of her stay, after which she would have a copay until she has been in the facility for 100 days.

Question 5

Mrs. Thomas is 66 years old, has coverage under an employer plan, and will retire next year. She heard she must enroll in Part B at the beginning of the year to ensure no gap in coverage. What can you tell her?

Answer: d. She may enroll at any time while she is covered under her employer plan, but she will have a special eight-month enrollment period after the last month on her employer plan that differs from the standard general enrollment period, during which she may enroll in Medicare Part B.

Question 6

Ms. Lewis has aggressive cancer and would like to know if Medicare will cover hospice services in case she needs them. What should you tell her?

Answer: d. Medicare covers hospice services, and they will be available for her.

Question 7

Mr. Bauer is 49 years old, but eighteen months ago he was declared disabled by the Social Security Administration and has been receiving disability payments. He is wondering whether he can obtain coverage under Medicare. What should you tell him?

Answer: b. After receiving such disability payments for 24 months, he will be automatically enrolled in Medicare, regardless of age.

Question 8

Mr. Schmidt would like to plan for retirement and has asked you what is covered under Original Fee-for-Service (FFS) Medicare. What could you tell him?

Answer: b. Part A, which covers hospital, skilled nursing facility, hospice, and home health services and Part B, which covers professional services such as those provided by a doctor are covered under Original Medicare.

Question 9

Agent John Miller is meeting with Jerry Smith, a new prospect. Jerry is currently enrolled in Medicare Parts A and B. Jerry has also purchased a Medicare Supplement (Medigap) plan which he has had for several years. However, the plan does not provide drug benefits. How would you advise Agent John Miller to proceed?

Answer: c. Tell prospect Jerry Smith that he should consider adding a standalone Part D prescription drug coverage policy to his present coverage.

Question 10

Tariq is a Medicare beneficiary who is considering switching to a Medicare Advantage plan during this year’s open enrollment season. He has read about prior authorization and the need for referrals in the newspapers and asks you what type of plans can require prior authorization. What do you say?

Answer: b. PPO plans can require prior authorization for both in-network and out-of-network services.

Question 11

Herber Noble is turning 65 next month, Herber legally entered the United States over twenty years ago but is not a citizen. Since his entry into the country, Herber has worked at Smallcap Incorporated and contributed to the Medicare system. Herber suffers from diabetes. He will soon retire and asks you if he can enroll in a Medicare Advantage plan that you represent. How would you respond?

Answer: d. Herber is eligible to enroll in Medicare Advantage as long as he is entitled to Part A and enrolled in Part B. Herber should go to the Social Security website to enroll in Medicare Part A and B if he has not done so already. Once he is enrolled, he can choose a Medicare Advantage plan.

Question 12

Mr. Pham is a Qualified Medicare Beneficiary (QMB). He enrolls in a Medicare Advantage HMO. Shortly thereafter, Mr. Pham visits his primary care provider (PCP), Dr. Maria Sanchez. Mr. Pham complains of a bad cold and receives care – a Medicare-covered service. The normal copayment is $40. How much may Dr. Sanchez collects?

Answer: c. The minimal copayment that would apply under Medicaid, regardless of what the plan requires of other enrollees.

Question 13

Mr. Trevino notes that a Private Fee-for-Service (PFFS) plan available in his area has an attractive premium. He wants to know if he must use doctors in a network as his current HMO plan requires him to do. What should you tell him?

Answer: b. He may receive health care services from any doctor allowed to bill Medicare, if he shows the doctor the plan’s identification card and the doctor agrees to accept the PFFS plan’s payment terms and conditions, which could include balance billing.

Question 14

Mr. Anderson wants to know whether he is eligible to sign up for a Private fee-for-service (PFFS) plan. What questions would you need to ask to determine his eligibility?

Answer: a. You would need to ask Mr. Anderson if he is entitled to Part A, enrolled in Part B, and if he lives in the PFFS plan’s service area.

Question 15

Which of the following statement(s) is/are correct about a Medicare Savings Account (MSA) Plans? I. MSAs may have either a partial network, full network, or no network of providers. II. MSA plans cover Part A and Part B benefits but not Part D prescription drug benefits. III. An individual who is enrolled in an MSA plan is responsible for a minimal deductible of $500 indexed for inflation. IV. Non-network providers must accept the same amount that Original Medicare would pay them as payment in full.

Answer: b. I, II, and IV only

Question 16

Mr. Dalton is in excellent health, lives in his own home, and has a sizeable income from his investments. He has a friend enrolled in a Medicare Advantage Special Needs Plan (SNP). His friend has mentioned that the

SNP charges very low cost-sharing amounts and Mr. Dalton would like to join that plan. What should you tell him?

Answer: d. SNPs limit enrollment to certain subpopulations of beneficiaries. Given his current situation, he is unlikely to qualify and would not be able to enroll in the SNP.

Question 17

Mrs. Lester is age 75 and enjoys a comfortable but not extremely high-income level. She wishes to enroll in an MA MSA plan that she heard about from her neighbor. She also wants to have prescription drug coverage since her doctor recently prescribed several expensive medications. Currently, she is enrolled in Original Medicare and a standalone Part D plan. How would you advise Mrs. Lester?

Answer: b. Mrs. Lester may enroll in an MA MSA plan and remain in her current standalone Part D prescription drug plan.

Question 18

Mr. Kumar is considering a Medicare Advantage HMO and has questions about his ability to access providers. What should you tell him?

Answer: d. In most Medicare Advantage HMOs, Mr. Kumar must generally obtain his services only from providers within the plan's network (except in an emergency or where care is unavailable within the network).

Question 19

Mrs. Duran is enrolled in a prescription drug plan. She has heard about something called True-Out-Pocket costs or “TrOOP” and asks you if any of the following count toward reaching the catastrophic coverage phase. What do you say? I. Her annual PDP deductible II. Supplemental coverage provided by an employer group waiver plan III. The off formulary drug her doctor prescribed but she pays for because the plan denied her exception request IV. Her over-the-counter (OTC) allergy medication.

Answer: a. I only

Question 20

Mr. Chen was still working when he first qualified for Medicare. At that time, he had employer group coverage that was creditable. During his initial Part D eligibility period, he decided not to enroll because he was satisfied with his drug coverage. It is now a year later and Mr. Chen has lost his employer group coverage within the last two weeks. How would you advise him?

Answer: b. Mr. Chen should enroll in a Part D plan before he has a 63-day break in coverage in order to avoid a premium penalty.

Question 21

Mrs. Strickland is a new Medicare beneficiary who has just retired from retail work. She is interested in selecting a Medicare Part D prescription drug plan. She takes several medications and is concerned that she has not been able to identify a plan that covers all of her medications. She does not want to make an abrupt change to new drugs that would be covered and asks what she should do. What should you tell her?

Answer: c. Every Part D drug plan is required to cover a single one-month fill of her existing medications sometime during a 90-day transition period.

Question 22

Mrs. Kelly wants to enroll in a Medicare Advantage plan that does not include drug coverage and also enroll in a stand-alone Medicare prescription drug plan. Under what circumstances can she do this?

Answer: d. If the Medicare Advantage plan is a Private Fee-for-Service (PFFS) plan that does not offer drug coverage or a Medical Savings Account plan, Mrs. Kelly can do this.

Question 23

Mrs. Castro has just turned 65, is in excellent health and has a relatively high income. She uses no medications and sees no reason to spend money on a Medicare prescription drug plan if she does not need the coverage. She currently does not have creditable coverage. What could you tell her about the implications of such a decision?

Answer: c. If she does not sign up for a Medicare prescription drug plan as soon as she is eligible to do so, and if she does sign up at a later date, her premium will be permanently increased by 1% of the national average premium for every month that she was not covered.

Question 24

Mr. Aguilar is a newly enrolled Medicare Part D beneficiary and one of your clients. In addition to drugs on his plan’s formulary, he takes several other medications. These include a prescription drug not on his plan’s formulary, over-the-counter medications for colds and allergies, vitamins, and drugs from an Internet-based Canadian pharmacy to promote hair growth and reduce joint swelling. His neighbor recently told him about a concept called TrOOP and he asks you if any of his other medications could count toward TrOOP should he ever reach the Part D catastrophic limit. What should you say?

Answer: c. None of the costs of Mr. Aguilar’s other medications would currently count toward TrOOP but he may wish to ask his plan for an exception to cover the prescription, not on its formulary.

Question 25

Mr. and Mrs. Cole both take a specialized multivitamin prescription each day. Mr. Cole takes a prescription to help regrow his hair. They are anxious to have their Medicare prescription drug plan cover these drug needs. What should you tell them?

Answer: b. Medicare prescription drug plans are not permitted to cover the prescription medications the Coles are interested in under Part D coverage, however, plans may cover them as supplemental benefits and the Coles could look into that possibility.

Question 26

Mrs. Sharma has Original Medicare and would like to enroll in a Private Fee-for-Service (PFFS) plan. All types of PFFS plans are available in her area. Which options could Mrs. Sharma consider before selecting a PFFS plan?

Answer: a. A Medicare Advantage Prescription Drug (MA-PD) PFFS plan that combines medical benefits and Part D prescription drug coverage, a PFFS plan offering only medical benefits, or a PFFS plan in combination with a stand-alone prescription drug plan.

Question 27

Mrs. Nguyen is a retired federal worker with coverage under a Federal Employee Health Benefits (FEHB) plan that includes creditable drug coverage. She is ready to turn 65 and become Medicare eligible for the first time. What issues might she consider about whether to enroll in a Medicare prescription drug plan?

Answer: c. She could compare the coverage to see if the Medicare Part D plan offers better benefits and coverage than the FEHB plan for the specific medications she needs and whether any additional benefits are worth the Part D premium costs on top of her FEHB contribution.

Question 28

Angel is new to the Medicare marketplace having previously been focused on life insurance and disability income protection products. He intends to conduct an educational seminar during the AEP at a local hotel and then invite those who attend to a subsequent marketing meeting to discuss the benefits of next year's plans. How would you advise Angel?

Answer: b. Angel should conduct the education seminar as an early morning meeting and the marketing meeting on the following day in the late afternoon so that there are at least 12 hours between the two meetings.

Question 29

Agent Lopez helps Ralph to enroll in Top Choice Medicare Advantage plan during the Annual Open Enrollment Period. Ralph's effective enrollment date is January 1st. Ralph disenrolls on February 12th because he discovers that the plan does not cover services furnished by several of his longtime providers. Which of the following statements best describes the impact of Ralph's action upon Agent Lopez's compensation?

Answer: d. Agent Lopez is entitled to a pro rata amount of the compensation earned including the full amount for February.

Question 30

Alice is a marketing representative employed by a health plan. Betty is a captive agent of a health plan who markets for multiple plans and sponsors. Carl is a captive agent who markets for only one plan/sponsor. Denise is an independent agent who markets to different types of groups. Edward is an independent agent who markets only to employer and union groups. CMS marketing representative compensation rules generally apply to:

Answer: c. All of these people except Alice, the employee.

Question 31

ABC is a Medicare Advantage (MA) plan sponsor. It would like to use its enrollees' information to market non-health related products such as life insurance and annuities. Which statement best describes ABC's obligation to its enrollees regarding marketing such products?

Answer: c. It must obtain a HIPAA compliant authorization from an enrollee that indicates the plan or plan sponsor may use their information for marketing purposes.

Question 32

Agent Higgins helps Mrs. O'Malley enroll in AB Medicare Advantage (MA) plan during the Annual Open Enrollment Period. Mrs. O'Malley's effective enrollment date is January 1st. Subsequently, Mrs. O'Malley disenrolls on February 12th following a move outside the plan's service area. What impact will this have on Agent Higgins' compensation?

Answer: c. AB MA plan must recoup a pro rata amount of Agent Higgins' compensation and pay him only for January.

Question 33

You have been providing a pre-Thanksgiving meal during sales presentations in November for many years, and your clients look forward to attending this annual event. When marketing Medicare Advantage and Part D plans, what are you permitted to do concerning meals?

Answer: b. You may provide light snacks, but a Thanksgiving style meal would be prohibited, regardless of the total value of the meal.

Question 34

This year you have decided to focus your efforts on marketing to employer group plans. One employer provides you with a list of their retirees and asks you to contact them to explain the characteristics of the plan they have selected. What should you do?

Answer: d. You may only contact the retirees after the employer has notified them that they will be receiving a call.

Question 35

Steban Marsh is a newly appointed agent. Steban intends to conduct an educational session on Medicare at a senior citizens center near his home. He has advertised the session as an educational event. Steban asks you what is permissible at such an event. What should you say?

Answer: d. Steban may provide snacks as long as their value is $15 or less per attendee and he may make available business reply cards (BRCs).

Question 36

You have approached a hospital administrator about marketing in her facility. The administrator is uncomfortable with the suggestion. How could you address her concerns?

Answer: c. Tell her that Medicare guidelines allow you to conduct marketing activities in common areas of a provider's facility.

Question 37

Mrs. Brown learned about a new MA-PD plan that her neighbor suggested and that you represent. She plans to switch from her old MA HMO plan to the new MA-PD plan during the Annual Election Period. However, she wants to make sure she does not end up paying premiums for two plans. What can you tell her?

Answer: c. She only needs to enroll in the new MA-PD plan and she will automatically be disenrolled from her old MA plan.

Question 38

Mr. Weitz was quite ill recently and forgot to pay his monthly premium for his MA-PD plan. He is worried that he will lose his coverage now when he needs it the most. He is certain his plan will disenroll him because that is what happened to a friend of his in a similar type of plan. What can you tell Mr. Weitz about his situation?

Answer: d. Plan sponsors have the option to do nothing when a plan member does not pay their premiums or disenroll the member after a grace period and notice.

Question 39

Mrs. Silva is in her Medicare initial coverage election period (ICEP) and the date of her entitlement to Part A and B has already occurred. Mrs. Silva has just signed up for a Medicare Advantage plan on the second of the month. She is leaving for vacation in two weeks and wants to know if her new coverage will start before she leaves. What should you tell her?

Answer: c. Typically, her coverage would begin on the first day of the next month, so she should not expect her coverage to begin before she leaves.

Question 40

Ms. Moss decided to remain in Original Medicare (Parts A and B) and Part D during the Annual Enrollment Period (AEP). At the beginning of January, her neighbor told her about the Medicare Advantage (MA) plan he selected. He also told her there was an open enrollment period that she might be able to use to enroll in an MA plan. Ms. Moss comes to you for advice shortly after speaking to her neighbor. What should you tell her?

Answer: c. There is an MA Open Enrollment Period (OEP) that takes place between January 1 and March 31, but Ms. Moss cannot use it because eligibility to use the OEP is available only to MA enrollees.

Question 41

Eva Huber is a new marketing representative. Eva asks you for advice as to what topics must be discussed with a Medicare beneficiary prior to enrollment in a Medicare Advantage (MA-PD) plan. What should you say?

Answer: b. Eva, there are many required questions and topics regarding beneficiary needs to be discussed prior to enrollment in an MA plan. These include information regarding primary care providers and specialists whether they are in the plan network, whether or not a beneficiary's current prescriptions are covered as well as premiums, benefits, and costs of health care services.

Question 42

Mr. Trejo has Medicare Parts A and B with a Part D plan. Last year, he received a notice that his plan sponsor identified him as a "potential at-risk" beneficiary. This month, he started receiving assistance from Medicaid. He wants to find a different Part D plan that's more suitable for his current prescription drug needs. He believes he's entitled to a SEP since he is now a dual-eligible. Is he able to change to a different Part D plan during a SEP for dual-eligible individuals?

Answer: a. No. Once he is identified by the plan sponsor as a "potential at-risk" beneficiary, he cannot use the dual eligible SEP to change plans while this designation is in place.

Question 43

Mr. Lu is selling his home to permanently move into a retirement facility near his daughter in a neighboring state before the Annual Election Period. He has a stand-alone prescription drug plan and has learned it is not available where he is moving. He doesn't know what he should do. What can you tell him?

Answer: b. Because he is moving outside of the service area, the plan must automatically disenroll him. He will have a special election period to select a new plan.

Question 44

You work for Caring Health, a Medicare Advantage (MA) plan sponsor. Recently, Mrs. Gomez has completed an enrollment application for a plan offered by Caring Health, which is waiting for a reply from CMS indicating whether or not Mrs. Gomez's enrollment has been accepted. Once CMS replies, how long does Caring Health have to notify Mrs. Gomez that her enrollment has been accepted and in what format?

Answer: b. The plan has 10 calendar days to notify Mrs. Gomez in writing.

Question 45

Mr. Rockwell, age 67, is enrolled in Medicare Part A, but because he continues to work and is covered by an employer health plan, he has not enrolled in Part B or Part D. He receives a notice on June 1 that his employer is cutting back on prescription drug benefits and that as of July 1, his coverage will no longer be creditable. He has come to you for advice. What advice would you give Mr. Rockwell about special election periods (SEPs)?

Answer: b. Mr. Rockwell is eligible for a SEP due to his involuntary loss of creditable drug coverage; the SEP begins in June and ends on September 1- two months after the loss of creditable coverage.

Question 46

Agent Rory Clark's client, Henrik Schultz, signs a scope of appointment (SOA) at the beginning of the annual open enrollment period on October 15th. This SOA is valid ________

Answer: d. for 12 months from the date of signature.

Question 47

Mrs. Foley has been enrolled in a Medicare Part D plan for several years. She takes several brand-name drugs and is interested in learning about the Medicare Prescription Payment Plan. What should you tell her?

Answer: d. Enrollees can opt out of the program at any time. However, they will continue to be billed for any cost-sharing amounts still owed.

Question 48

Ms. Gates has recently become dually eligible for Medicare and Medicaid. She is very concerned about how this will affect her prescription drug coverage. What should you tell her?

Answer: c. As a dual eligible beneficiary, her Part D drugs will be covered by Medicare once she is enrolled in a Part D plan. If she doesn’t select a plan, Medicare will select a plan for her.

Question 49

Ms. Mitz is an independent agent under contract with MarketCo, a third-party marketing organization. MarketCo has a contract with BestCare health plan, a Medicare Advantage (MA) organization, to offer marketing services through its contracted agents and agencies. Ms. Mitz returns calls to individuals who contact MarketCo in response to its mailers promoting BestCare health plan. Which of the following best describes the responsibilities of Ms. Mitz?

Answer: b. Ms. Mitz is considered a marketing representative of BestCare and thus is obligated to comply with CMS marketing requirements, including those regarding using only approved call scripts.

Question 50

This year you decide to focus your efforts on marketing to employer and union groups. Which of the following statements best describes what you can and cannot do in order to stay in compliance?

Answer: b. You are not required to submit communication and marketing materials specific only to those employer plans to CMS at the time of use, but CMS may request and review copies if employee complaints occur.